

SUPPLY AND DEMAND

The economic law of supply and demand states that when the price of a commodity (such as oil) falls, consumers tend to use, or demand, more of it, and when its price rises, the demand decreases. One of the key factors affecting price is the amount of a commodity available—its supply. Low supply will push prices up, as consumers are willing to pay more for something that is difficult to obtain, and high supply will push prices down as consumers will not pay a premium for something that is plentiful.

\$80.9
trillion

estimated amount of money
in existence today



Bank notes

(1100–2000)

States began to use bank notes, issuing paper IOUs that were traded as currency, and could be exchanged for coins at any time. *See pp.18–19*

Digital money

(2000 onward)

Money can now exist “virtually,” on computers, and large transactions can take place without any physical cash changing hands. *See pp.222–223*

Macro versus Microeconomics

Macroeconomics studies the impact of changes in the economy as a whole. Microeconomics examines the behavior of smaller groups.



Macroeconomics

This measures changes in indicators that affect the whole economy.

- › **Money supply** The amount of money circulating in an economy.
- › **Unemployment** The number of people who cannot find work.
- › **Inflation** The amount by which prices rise each year.



Microeconomics

This examines the effects that decisions of firms and individuals have on the economy.

- › **Industrial organization** The impact of monopolies and cartels on the economy.
- › **Wages** The impact that salary levels, which are affected by labor and production costs, have on consumer spending.